

World in Brief: Treasury yields climb; America announces more sanctions on Cuba



Photograph: Reuters

Yields on American **30-year Treasuries** climbed on Thursday. The move reversed some of Wednesday's decline, which occurred after Scott Bessent, America's treasury secretary, [promised to buy back more long-term bonds](#). "Anything that happens within a 24-hour period is noise," Mr Bessent said in response. Investors remain concerned about inflation and government debt, which this week exceeded \$40trn for the first time.

The **Trump administration** announced new sanctions on nine mining and construction organisations linked to, or part of, **Cuba's** government. It also imposed sanctions on three leaders of Cuba's Institute of Friendship with the Peoples, a group that, America claims, seeks to "infiltrate, corrupt, and radicalise" Americans. Separate American sanctions announced this year, as well as a blockade on fuel, [have crippled Cuba's economy](#).

The *uss **Abraham Lincoln*** left the Middle East. The American aircraft-carrier's deployment began in November, three months before the beginning of the [Iran war](#). In recent weeks media have reported that morale is poor and food has been in short supply. Several sailors apparently attempted to jump overboard. The Trump

administration said the vessel's conditions had been "misrepresented". The *USS George Washington* has replaced it.

Walmart, America's biggest retailer, posted its lowest quarterly sales growth in more than six years. American sales rose by just 2.6% year-on-year, helped by e-commerce, while brick-and-mortar sales fell. The retailer blamed lower drug prices owing to new federal regulations for the slowdown. It is another bad sign for American consumer confidence. Last week data showed retail sales fell month on month in July, the first decline in nine months.

Imran Khan, Pakistan's former prime minister, was transported from jail to a hospital in Islamabad, days after the country's Supreme Court ruled that he must be moved for medical treatment. It is unclear how long he will stay in hospital. The 73-year-old lost power in 2022. He is serving a 14-year prison sentence on a trumped-up corruption charge. His popularity has [soared](#).

A 6.7-magnitude **earthquake** struck **Peru's** Andes region. Other parts of the country, including Lima, the capital, also felt it. Officials said that no casualties had yet been reported. Peru is situated between two tectonic plates, making earthquakes frequent. Its latest big one comes just over a week after [a 7.4-magnitude quake](#) hit its neighbour, Colombia, killing more than 300 people.

Prince Harry and **Meghan** announced they will move back to Britain with their two children, six years after moving to America. The British government removed the couple's right to automatic police protection in 2020 after they stepped back from royal duties. Last year Harry lost a legal battle to have the decision reversed. Andy Burnham, the prime minister, said their security arrangements are a "private matter".

Figure of the day: 18%, the jump in homework scores for students aged 12-18 who used AI. But those who didn't use it

scored better in exams. [Explore](#) the evidence on AI's impact on education.

To strive, to seek, to find a way to cut yields



Photograph: Getty Images

America's government is sufficiently spooked about borrowing costs that it will double (at least) its own purchases of long-dated debt from September. Its announcement on Wednesday drove down the yield on 30-year Treasuries slightly from around 5.3%, the highest since 2007. Britain, France, Germany and Japan have seen similarly soaring yields. Why so high?

With little sign the Strait of Hormuz will reopen soon, bond traders are pricing in continued inflation. And a surfeit of companies issuing bonds, many to fund AI infrastructure, gives buyers new investment-grade options. But the biggest reason is government deficits. Investors increasingly see little prospect of politicians slashing spending or raising taxes. Governments could sell more short-dated bonds, but that raises the risk of refinancing when rates are rising. Or they could buy more of their own debt, but central banks want to shrink their balance-sheets. That leaves few good options to tame yields.

Selling SpaceX



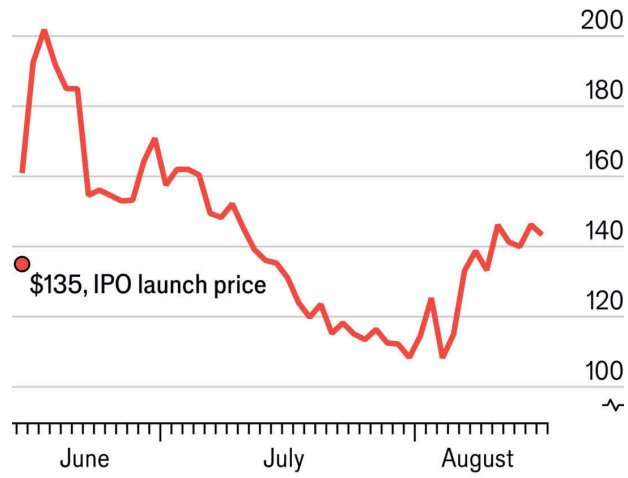
Photograph: Alamy

SpaceX's latest launch is financial rather than astronomical. On Thursday Elon Musk's rocketry and AI firm frees up a tranche of 319m shares, around 2.5% of the total, for trading—the second of several releases planned between now and the middle of next year. SpaceX had a record-breaking [initial public offering](#) in June, but only around 640m shares were made available to buy.

Fears that investors would dump shares when the first lockup expired didn't come to pass. SpaceX's share price has risen almost 30% since then, though it is nowhere near the \$200 it once reached. Today it orbits around \$140. The firm's [first set of public results](#), published on August 4th, reported a near-doubling of revenue in the second quarter of the year compared with the previous one, to \$7.8bn, and a narrowing of losses from \$1bn to \$541m. Investors buying in will hope SpaceX can maintain that trajectory.

Back down to Earth

SpaceX, share price, 2026, \$



Source: LSEG Workspace

Taiwan has money to spend



Illustration: David Simons

Taiwan's cabinet approved a budget proposal for 2027 on Thursday. The island's economy, turbo-charged by the AI industry's demand for its semiconductors, grew by 14% year-on-year in the first half of 2026, inspiring largesse. The government proposed an 18% increase in defence spending from last year to counter the growing military threat from China, which [claims the island](#). This takes its military spending above NT\$1trn (\$31bn) for the first time, and pushes it above 3% of GDP, in line with American demands.

But the new budget must be approved by parliament, where the opposition outnumbers the ruling parties. Last year's budget, which should have been ratified by the end of last year, passed only on August 14th, after repeated clashes delayed it. Mr Lai lamented that political divisions should not affect "the normal functioning of the state". Yet Taiwan's politics do not run as smoothly as its economy.

Tennis's least-loved underdog



Photograph: Amazon MGM Studios

No one in Novak Djokovic's family had ever played tennis. His childhood in Belgrade was disrupted by the Kosovo war, and he came of age when the two best players of all time, Roger Federer and Rafael Nadal, dominated. "The Wolf in Winter", an Amazon Prime documentary released on Thursday, shows how Mr Djokovic triumphed anyway. When he retires (he wants to reach the 2028 Olympics, by which time he'll be 41), he will have won a record number of men's Grand Slams and is expected to have earned more prize money than any other player.

Although sport fans usually love an underdog, tennis aficionados merely respect Mr Djokovic. He lacks Mr Federer's style and Mr Nadal's humility. He overlooked public health guidelines during the pandemic and has often lashed out at hostile crowds. Yet few players possess a greater will to win or a deeper sense of self-belief. The sport will be poorer without him, even if many fans will not mind.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which American air-force base in Nevada is the subject of many conspiracy theories about alien visitors?

Wednesday: Which play by Bertolt Brecht is about a peasant girl who rescues a baby?

Never go to bed mad. Stay up and fight.

Phyllis Diller